

ACCA IFRS DIPLOMA JUNE 2022 Questions

1 of 4

Alpha, a parent with one subsidiary, Beta, is preparing the consolidated statement of financial position as at 31 March 20X5.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Financial statements extract – an extract of the statements of financial position (SOFP) of Alpha and Beta at 31 March 20X5.
2. Alpha's investment in Beta – details of Alpha's investment in Beta which are relevant to the question.
3. Intra-group trading – details of intra-group trading .
4. Power plant – details of Alpha's construction of a power plant during the year ended 31 March 20X5.
5. Convertible loan – details of a new convertible loan taken out by Alpha on 1 April 20X4.

This information should be used to answer the question **requirement** within the **response option** provided.

1. Financial statements extract

Statements of financial position of Alpha and Beta at 31 March 20X5

	Alpha \$'000	Beta \$'000
Assets		
Non-current assets		
Property, plant and equipment (Exhibits 2 and 4)	380,000	185,000
Investments in equity instruments (Exhibit 2)	<u>170,000</u>	<u>nil</u>
	550,000	185,000
Current assets		
Inventories (Exhibit 3)	90,000	65,000
Trade receivables	100,000	50,000
Cash and cash equivalents	<u>35,000</u>	<u>20,000</u>
	225,000	135,000
Total assets	<u>775,000</u>	<u>320,000</u>
EQUITY AND LIABILITIES		
Share capital (\$1 shares)	200,000	100,000
Retained earnings	160,000	80,000
Other components of equity	<u>70,000</u>	<u>20,000</u>
Total equity	<u>430,000</u>	<u>200,000</u>
Non-current liabilities		
Long-term borrowings (Exhibits 4 and 5)	200,000	20,000
Deferred tax	<u>20,000</u>	<u>10,000</u>
Total non-current liabilities	220,000	30,000
Current liabilities		
Trade and other payables	85,000	60,000
Current tax payable	<u>40,000</u>	<u>30,000</u>
Total current liabilities	<u>125,000</u>	<u>90,000</u>
Total liabilities	<u>345,000</u>	<u>120,000</u>
Total equity and liabilities	<u>775,000</u>	<u>320,000</u>

2. Alpha's investment in Beta

On 1 April 20X3, Alpha acquired 80 million shares in Beta and gained control of Beta. Alpha made a cash payment of \$160 million to the former shareholders of Beta on 1 April 20X3. Alpha incurred acquisition costs of \$10 million and has presented the total costs of \$170 million as investments in equity instruments.

A condition of the purchase agreement was that Alpha would make a further cash payment of \$66.55 million to the former shareholders of Beta on 31 March 20X6. Alpha has not made any entries in its own financial statements in respect of this deferred payment. A suitable discount rate to use, where relevant, is 10% per annum. Using this rate, the present value of \$1 payable in three years' time is approximately 75.132 cents.

On 1 April 20X3, Beta had retained earnings of \$60 million and other components of equity of \$20 million.

On 1 April 20X3, the fair values of Beta's identifiable assets and liabilities were the same as their carrying amounts in the individual financial statements of Beta with the exception of property, plant and equipment which had a carrying amount of \$160 million and a fair value of \$190 million. On 1 April 20X3, the useful life of this property, plant and equipment was five years. The fair value adjustments should be regarded as temporary differences for the purposes of computing deferred tax. The relevant rate of income tax to use for this purpose is 20%.

The directors of Alpha measured the non-controlling interest in Beta on 1 April 20X3 at its proportionate share of the net assets at that date. There has been no goodwill impairment since the date of acquisition.

3. Intra-group trading

Since 1 April 20X3, Alpha has been supplying Beta with a product. Alpha applies a mark-up of 20% to its production cost when establishing an invoiced price for sales of the product to Beta. On 31 March 20X5, the inventories of Beta included \$24 million in respect of these purchases.

There were no intra-group balances outstanding at 31 March 20X5.

4. Power plant

On 1 August 20X4, Alpha began to construct a power plant. The construction cost was \$60 million and the construction was completed on 30 November 20X4. The plant was available for use from that date. Following a formal opening ceremony, the plant was brought into use on 1 January 20X5. Alpha estimated that the useful life of the plant was ten years.

On 1 July 20X4, Alpha borrowed \$60 million to finance the construction of the power plant. The interest payable on this borrowing was 8% per annum, payable in arrears on 30 June each year.

On 31 March 20X5, the property, plant and equipment of Alpha incorrectly included \$62.01 million in respect of the power plant, made up as follows:

	\$'000
Cost of constructing power plant	60,000
Finance cost of loan taken out to finance construction of the power plant	
(\$60 million x 8% x 9/12)	<u>3,600</u>
	63,600
Depreciation from 1 January 20X5 (63,600 x 1/10 x 3/12)	<u>(1,590)</u>
	<u>62,010</u>

5. Convertible loan

On 1 April 20X4, Alpha borrowed \$80 million. The interest payable on this borrowing is 5% per annum, payable in arrears on 31 March each year. Alpha recorded the first interest payment of \$4 million on 31 March 20X5 as a finance cost and included \$80 million in respect of this borrowing in its long-term borrowings at 31 March 20X5.

The principal sum of \$80 million (together with any accrued interest due) is repayable on 31 March 20X9. The lenders have the option to receive equity shares in Alpha at 31 March 20X9 as an alternative to receiving repayment of the principal amount. If this option were not available, then the lenders would have required annual interest at a rate of 7% per annum.

Present value factors which may be relevant are as follows:

	5%	7%
Present value of \$1 payable in five years	78.4 cents	71.3 cents
Cumulative present value of \$1 payable at the end of years 1–5	\$4.329	\$4.10

Requirement (25 marks)

Using the information in exhibits 1-5, prepare the consolidated statement of financial position of Alpha at 31 March 20X5. Unless specifically referred to in the exhibits you should ignore deferred tax.

Notes: Explanations of consolidation procedures are not required.

(25 marks)

2 of 4

Gamma prepares financial statements to 31 March each year. You are a trainee accountant employed by Gamma and report to the finance director (FD) of Gamma. One of your key responsibilities is to prepare the first draft of Gamma's published financial statements. You have recently received an email from the FD regarding the financial statements for the year ended 31 March 20X5 but are unsure how to respond. You would like to ask the advice and assistance of a friend who is a fully ACCA qualified accountant with more technical knowledge, but they are not employed by Gamma.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Email – an email from the director.
2. Attachment 1 to the email – provides details relating to shares granted to ten of Gamma's executives.
3. Attachment 2 to the email – details the revaluation of property.

This information should be used to answer the question requirements within your chosen response option(s).

1. Email

To: Trainee accountant
From: Finance director
Subject: Potential bonuses dependent on performance
Date: 5 April 20X5

It is very important that the upcoming set of financial results of Gamma show a favourable financial performance and position. If the results are good, then potentially there are big bonuses available for all staff, including you! There are a couple of complex transactions which have occurred in the year ended 31 March 20X5 which you may be unsure how to deal with in your preparation of the draft financial statements. They are set out in the two attachments to this email. I have also included the way in which I would like you to deal with them in your draft. I have tried to identify treatments which will show Gamma in as favourable a position as possible.

2. Attachment 1 to the email

On 1 April 20X4, we granted ten of our senior executives 12,000 shares each in Gamma. These shares will vest on 31 March 20X7 provided the executives remain employed by Gamma until then. One of these executives is likely to retire in the next couple of years but the other nine are almost certain to stay employed until at least 31 March 20X7. The shares will be issued on 31 March 20X7. As an alternative to receiving the 12,000 shares, each executive could, on 31 March 20X7, receive a cash payment equal to the value of 10,000 shares on that date. The market price of Gamma shares on 1 April 20X4 was \$10 per share and this has increased to \$12 by 31 March 20X5. My finance specialists tell me that the fair value of the share alternative was \$9 on 1 April 20X4, increasing to \$9.50 by 31 March 20X5.

Do not worry about all this detail as although we have given them the choice, the executives are almost certain to take up the shares rather than the cash, so all we need to do is to recognise the share issue when it happens on 31 March 20X7. Therefore, you do not have to include this in the financial statements until then

(10 marks)

3. Attachment 2 to the email

I want to measure Gamma's property at its market value from the start of the year (1 April 20X4). Gamma has not used the revaluation model before. The property was previously recognised in the financial statements on 1 April 20X4 at its carrying amount of \$20 million. \$10 million of this amount relates to the land element of the property and \$10 million to the buildings element. A report from a qualified surveyor has indicated that its market value on 1 April 20X4 was \$30 million. The report said that \$12 million of this value was attributed to the land element and \$18 million to the buildings element. The profit on revaluation will improve our reported pre-tax profit and provide a nice improvement to financial performance this year. It is likely the company will use this property for 20 more years from 1 April 20X4 but do not worry about accounting for depreciation – future increases in value of the property will be more than enough to cancel depreciation out.

If we sold the property, we would have to pay tax at 25% on any profit made. The tax department has informed me that the tax base of the property on 1 April 20X4 was nil because the property qualified for very favourable tax treatment when purchased. You need not worry about any of this though; we have no immediate intention of disposing of this property, so we can leave tax considerations related to the revaluation until later.

(10 marks)

Requirement (25 marks)

(a) Using the information in exhibits 2 and 3, explain and show how the transactions described should be accounted for in the financial statements of Gamma for the year ended 31 March 20X5. Your answer to (a) should NOT include discussion of any ethical issues.

(20 marks)

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures AND explanations.

(b) Using the information in exhibit 1, explain THREE ethical issues confronting you as a result of the email from the finance director and the associated attachments and whether you should ask for assistance from your fully ACCA qualified friend who is not employed by Gamma.

(5 marks)

Delta prepares financial statements to 31 March each year.

The following **exhibits**, available on the left-hand side of the screen, provide information relevant to the question:

1. Post-employment benefits – provides details of benefits for existing and previous employees.
2. Sale of goods – provides details of the sale of goods with a right of return.

This information should be used to answer the question **requirements** within your chosen **response option(s)**.

1. Post-employment benefits

Delta has provided two types of post-employment benefit plans for its employees (members). Both plans are administered by separate legal entities.

Plan A provides the benefits for the majority of the employees of Delta. The contributions paid into Plan A are invested to produce appropriate growth in the value of the plan. The ultimate level of post-employment benefits receivable by members of this plan depends on the level of contributions made and the returns received on the investment of those contributions.

Membership of plan B is restricted to the directors and other senior employees of Delta. The contributions paid into Plan B are invested to make optimal returns. However, post-employment benefits payable to Plan B members are based on the salary of the relevant employee at the date of their retirement and their length of service with Delta.

Relevant details of the two plans for the year ended 31 March 20X5 are as follows:

Plan A

	\$'000
Contributions payable by Delta to the plan for the year	45,000
Benefits paid to ex-employees in the year	30,000
Fair value of plan assets at 1 April 20X4	240,000
Fair value of plan assets at 31 March 20X5	275,000
Current service cost – year ended 31 March 20X5	42,000

Plan B

	\$'000
Contributions payable by Delta to the plan for the year	15,000
Benefits paid to ex-employees in the year	9,000
Present value of obligation to pay future benefits as at 1 April 20X4	190,000
Present value of obligation to pay future benefits as at 31 March 20X5	220,000
Fair value of plan assets at 1 April 20X4	140,000
Fair value of plan assets at 31 March 20X5	165,000
Current service cost – year ended 31 March 20X5	14,000

Details relevant to both plans are:

– Contributions into the plans and also benefits payable by the plans are paid evenly on a **monthly** basis across the year ended 31 March 20X5.

– Where required, a relevant discount rate to apply to any calculations is 8% per annum.

(14 marks)

2. Sales of goods

On 1 March 20X5, Delta sold and delivered 200 identical items to a customer for \$5,000 each. The items cost Delta \$3,000 each to manufacture. The terms of sale are that the customer has the right to return the goods within two months and will receive a full refund. After the two-month period has expired, the customer can no longer return the items and payment for all items becomes immediately due. Delta has entered into transactions of this type with this customer previously and can reliably estimate that 5% of the products are likely to be returned within the two-month period. During March 20X5, the customer returned six of the items. No change was necessary to the original estimate of the total number of goods which would be returned by the customer in the two-month period from 1 March 20X5 to 30 April 20X5.

(11 marks)

Requirement (25 marks)

Using the information in exhibits 1 and 2, explain and show how the transactions described there should be accounted for and reported in the financial statements of Delta for the year ended 31 March 20X5.

Notes:

- The mark allocations are indicated in each exhibit.
- Marks will be awarded for BOTH figures AND explanations.

(25 marks)

4 of 4

You are the financial controller of Omega, a listed entity. One of Omega's directors has raised some queries regarding the preparation of the consolidated financial statements of Omega for the year ended 31 March 20X5.

The following exhibits, available on the left-hand side of the screen, provide information relevant to the question:

1. Acquisition of subsidiary – three queries relating to the acquisition of a controlling interest in NewSub on 30 September 20X4.
2. Financial statements – two queries specifically on the consolidated statement of profit or loss and other comprehensive income.

This information should be used to answer the question **requirement** within the **response option provided**.

1. Acquisition of subsidiary

As you know, we acquired a controlling interest in NewSub on 30 September 20X4. NewSub is currently unlisted and has two separate business segments which will complement the activities of our existing group very well. I have been examining the most recent published financial statements of NewSub which are prepared using full IFRS Standards. There are a few things that I do not understand about these financial statements and I would appreciate your help.

Query 1

The most recent published financial statements of NewSub are for the year ended 31 December 20X4. Given that the Omega group year end is 31 March, this seems to pose a problem when preparing the consolidated financial statements. How do we incorporate the NewSub results given that they are prepared to a different year-end date? Could we require NewSub to change its year end, given we now control the company?

Query 2

A key reason for my reviewing NewSub's published financial statements was to find out how revenues and profits are split between its two business segments. I have found the segmental reports which we include in our consolidated financial statements very useful when considering the performance of the business segments of our existing group. However, when I examined the financial statements of NewSub, I found none of the segment disclosures that I see when I review the consolidated financial statements of Omega. How can NewSub's financial statements be in accordance with full IFRS Standards without this information? Does NewSub's lack of segmental reporting mean we can ignore segmental reporting for NewSub in our consolidated financial statements for the year ended 31 March 20X5?

Query 3

I have noticed that NewSub has some investment properties. A note to NewSub's financial statements states that these properties are measured using the cost model. I believe that the Omega group policy is to measure investment properties using the fair value model. This is in line with full IFRS Standards, so the NewSub policy must be wrong. On that basis, how should we deal with the investment properties of NewSub in the consolidated financial statements of Omega? Now that we control NewSub, should we require NewSub to change its accounting policy in its own individual financial statements?

(17 marks)

2. Financial statements

I thought it would be useful for me to review the consolidated financial statements of Omega for the year ended 31 March 20X4 to help me to assess those prepared for the year ended 31 March 20X5. I also looked at the financial statements of one of our key competitors, Rival. I have the following questions concerning the statements of profit or loss and other comprehensive income of Omega and Rival.

Query 1

I can see similarities between the statements for Omega and Rival. Both show revenue, finance costs, profit before tax, and income tax expense on the face of the statement. However, many of the other line items in the statements seem to be totally different. In particular, the classification of operating expenses into various categories in the Omega statement is completely different from the classification in the Rival statement. How can this be when both statements are allegedly prepared in accordance with full IFRS Standards?

Query 2

I am not clear how you decide which items are shown in the 'profit or loss' section and which are shown in the 'other comprehensive income' section. Are entities allowed a free choice in this matter and would it change how performance might be assessed?

(8 marks)

Requirement (25 marks)

Provide answers to the queries raised by one of Omega's directors detailed in exhibits 1 and 2, relating to the consolidated financial statements for the year ended 31 March 20X5.

Note: The mark allocations are indicated in each exhibit.

(25 marks)

Answers

1 Consolidated statement of financial position of Alpha at 31 March 20X5

[Note: all figures below in \$'000]

	\$'000
Assets	
Non-current assets	
Property, plant and equipment (380,000 + 185,000 + 18,000 (W1) – 2,463 (W5))	580,537
Goodwill (W2)	46,800
	<u>627,337</u>
Current assets	
Inventories (90,000 + 65,000 – 4,000 (W4))	151,000
Trade receivables (100,000 + 50,000)	150,000
Cash and cash equivalents (35,000 + 20,000)	55,000
	<u>356,000</u>
Total assets	<u><u>983,337</u></u>
Equity and liabilities	
Equity attributable to equity holders of the parent	
Share capital (\$1 shares)	200,000
Retained earnings (W4)	140,216
Other components of equity (W8)	76,560
	<u>416,776</u>
Non-controlling interest (W3)	42,880
Total equity	<u>459,656</u>
Non-current liabilities	
Long-term borrowings (200,000 + 20,000 – 5,419 (W6))	214,581
Deferred tax (20,000 + 10,000 + 3,600 (W1))	33,600
Total non-current liabilities	<u>248,181</u>
Current liabilities	
Trade and other payables (85,000 + 60,000)	145,000
Current tax payable (40,000 + 30,000)	70,000
Deferred consideration payable to former shareholders of Beta (W7)	60,500
Total current liabilities	<u>275,500</u>
Total liabilities	<u>523,681</u>
Total equity and liabilities	<u><u>983,337</u></u>

Working 1 – Net assets table for Beta

	1 April 20X3 \$'000	31 March 20X5 \$'000
Share capital	100,000	100,000
Retained earnings:		
Per financial statements of Beta	60,000	80,000
Fair value adjustment to PPE (post-acquisition additional depreciation = 30,000 x 2/5 = 12,000)	30,000	18,000
Deferred tax on fair value adjustment	(6,000)	(3,600)
Other components of equity	20,000	20,000
Net assets for the consolidation	<u>204,000</u>	<u>214,400</u>

Post-acquisition increase in net assets (214,400 – 204,000) = 10,400

Working 2 – Goodwill on acquisition of Beta

	\$'000
Cash cost of shares purchased	160,000
Deferred consideration (66,500 x 0.75132)	50,000
Non-controlling interest at date of acquisition (204,000 (W1) x 20%)	40,800
Net assets at date of acquisition (W1)	<u>(204,000)</u>
Goodwill on acquisition equals	<u>46,800</u>

Working 3 – Non-controlling interest in Beta

	\$'000
At date of acquisition (W2)	40,800
20% of post-acquisition increase in net assets (20% x 10,400 (W1))	2,080
	<u>42,880</u>

Working 4 – Retained earnings

	\$'000
Alpha – per draft SOFP	160,000
Adjustment to carrying amount of PPE (W5)	(2,463)
Adjustment to finance cost of convertible loan (5,141 (W6) – 4,000)	(1,141)
Acquisition costs	(10,000)
Finance costs of deferred consideration on acquisition of Beta (5,000 + 5,500 (W7))	(10,500)
80% of post-acquisition share of Beta' profits (80% x 10,400 (W1))	8,320
Unrealised profit on sales to Beta (20/120 x 24,000)	(4,000)
	<u>140,216</u>

Working 5 – Adjustment to carrying amount of PPE

	\$'000
Construction cost	60,000
Finance cost eligible for capitalisation (60,000 x 8% x 4/12)	1,600
	<u>61,600</u>
Depreciation (61,600 x 1/10 x 4/12)	(2,053)
Correct carrying amount	59,547
Carrying amount per draft financial statements of Alpha	(62,010)
Adjustment to carrying amount equals	<u>(2,463)</u>

Working 6 – Adjustment to carrying amount of convertible loan

	\$'000
Carrying amount on 1 April 20X4 (4,000 x 4·10 + 80,000 x 0·713)	73,440
Finance cost for year ended 31 March 20X5 (73,440 x 7%)	5,141
Cash interest paid on 31 March 20X5	(4,000)
	<u>74,581</u>
Carrying amount on 31 March 20X5	(80,000)
Adjustment to carrying amount equals	<u>(5,419)</u>

Working 7 – Deferred consideration payable to former shareholders of Beta

	\$'000
At 1 April 20X3 (W2)	50,000
Finance cost for year ended 31 March 20X4 (50,000 x 10%)	5,000
	<u>55,000</u>
Finance cost for year ended 31 March 20X5 (55,000 x 10%)	5,500
At 31 March 20X5	<u>60,500</u>

Working 8 – Other components of equity

	\$'000
Alpha – per draft SOFP	70,000
Equity component of convertible loan (80,000 – 73,440 (W6))	6,560
	<u>76,560</u>

2 Attachment 1 to email

The relevant standard is IFRS 2 – *Share-based Payment*. Under IFRS 2, the offer of shares to senior executives is a share-based payment transaction which must be recognised in the financial statements (*principle*).

This particular transaction (a share-based payment transaction with a cash alternative) is treated partly as an equity settled share-based payment transaction and partly a cash settled one (*principle*).

The fair value of the equity settled element at the grant date is computed by deducting the fair value of the cash alternative at the grant date from the overall fair value of the offer of the shares with the cash alternative (*exact words not necessary – principle*). This is because the executives (counterparty) and not the entity have the choice as to whether to take the shares or cash.

The fair value of the equity settled part of the transaction is \$72,000 [$12,000 \times \9 (the fair value of the overall share offer) $\times 9$ executives – $10,000 \times \$10$ (the fair value of the cash alternative) $\times 9$].

The equity settled part of the arrangement is recognised as a remuneration expense over the three-year vesting period based on its fair value at the grant date and the number of shares which are actually expected to vest (*principle*).

Therefore the amount which is recognised in the year ended 31 March 20X5 is \$24,000 ($\$72,000 \times 1/3$).

The corresponding credit entry in the statement of financial position is to other components of equity and will not be re-measured.

The remuneration expense associated with the liability component of the arrangement is also recognised over the vesting period and based on the number of shares which are actually expected to be issued on vesting. However, the expense is measured based on the fair value of the liability component at the reporting date (*principle*).

Therefore the total amount which is recognised in profit or loss as a remuneration expense in the year ended 31 March 20X5 is $\$384,000 = ((9 \times 10,000 \times \$12 \times 1/3) = \$360,000 + \$24,000$ [above]).

The corresponding credit entry of \$360,000 in the statement of financial position is to non-current liabilities.

Tutorial note: Candidates may present as a journal:

DR Profit or loss – Remuneration expense	\$384,000	
CR Non-current liability		\$360,000
CR Other components of equity		\$24,000

Attachment 2 to email

The relevant standard is IAS 16 – *Property, Plant and Equipment* (PPE). Where PPE is revalued and the revaluation shows a surplus, then, unless the surplus is eliminating a previous revaluation deficit on the same asset, the surplus is recognised in other comprehensive income rather than profit or loss (*principle*).

Since this is a first time revaluation, then a surplus of \$10 million (\$30 million – \$20 million) will be recognised in other comprehensive income.

Regardless of future potential increases in value, assets which are revalued still need to be depreciated over their estimated future useful lives (*principle*).

Land generally has an indefinite life, so only the buildings element of the property needs to be depreciated (*principle*).

This means that the depreciation charge on the property for the year ended 31 March 20X5 will be \$0.9 million ($\$18 \text{ million} \times 1/20$). \$0.9 million will be charged as an expense in the statement of profit or loss.

The carrying amount of the property at 31 March 20X5 will be \$29.1 million ($\$30 \text{ million} - \0.9 million). This will be presented as part of non-current assets in the statement of financial position.

Under the principles of IAS 12 – *Income Taxes* – a deferred tax liability must be recognised on the revaluation of an asset even if there is no intention to dispose of the asset (*principle*).

IAS 12 requires that a deferred tax liability be recognised on the difference between the carrying amount of an asset and its tax base (*principle*).

So for this property, the deferred tax liability prior to its revaluation will be \$5 million ($25\% \times \$20 \text{ million} - \0 tax base).

After the revaluation, the deferred tax liability will increase to \$7.5 million ($25\% \times \$30 \text{ million} - \0 tax base).

The increase of \$2.5 million following the revaluation will be debited to other comprehensive income.

The net credit to other comprehensive income as a result of the revaluation will be \$7.5 million ($\$10 \text{ million} - \2.5 million). This net credit will be recognised as a revaluation surplus in the statement of financial position as part of 'other components of equity'.

The deferred tax liability on 31 March 20X5 will be \$7.275 million ($\$29.1 \text{ million} \times 25\%$). This will be presented as a non-current liability in the statement of financial position.

The reduction in the deferred tax liability between 1 April 20X4 and 31 March 20X5 will be \$0.225 million ($\$7.5 \text{ million} - \7.275 million). This will be shown as a credit to the income tax expense in the statement of profit or loss.

Tutorial note: Some candidates may mention the option given in IAS 16 for entities which measure PPE using the revaluation model to make a transfer between the revaluation surplus and retained earnings. This transfer is based on the difference between depreciation actually charged on the revalued asset – in this case \$0.9 million – and the depreciation which would have been

charged had the asset continued to be measured at historical cost. This amount would have been \$0.5 million (\$10 million x 1/20), so the gross transfer for the year ended 31 March 20X5 would have been \$0.4 million (\$0.9 million – \$0.5 million). Where deferred tax is taken into consideration, the transfer is made net of attributable taxation. The accounting entry in this case would be:

	\$m	\$m
Credit retained earnings (\$0.4 million x (100 – 25)%)		0.30
Debit revaluation reserve	0.30	

Candidates who take this approach will be awarded a maximum of 3 additional marks (but the total for attachment 2 cannot exceed 10 marks).

Email from finance director (FD)

You are in danger of breaching the fundamental ethical principle of objectivity. You have a personal interest in reporting a favourable profit because of the possibility of a profit related bonus.

You also may be breaching the fundamental ethical principle of professional competence. As only part qualified and only part-way through a training programme, you may well not be competent enough to make a decision on the complex transactions outlined by the FD.

You are also breaching the fundamental ethical principle of integrity. It is at least possible that the FD is deliberately seeking to falsify the financial statements. If you are complicit and comply with the instructions of the FD, then there is a danger that this principle will be breached.

It is not appropriate to reveal the detail in the attachments to that email to a friend who is not employed by Gamma. This clearly breaches the fundamental ethical principle of confidentiality.

3 Exhibit 1 – Post-employment benefit plans

The relevant standard to apply here is IAS 19 – *Employee Benefits*. Since the benefits payable to plan A members are dependent on the value of the investment fund, plan A is a defined contribution plan.

This means that the liability of Delta is limited to the payment of contributions into the plan. Delta has no responsibility for the adequacy of the plan or payments to the former employees.

Therefore the contributions payable by Delta for the period of **\$45 million** will be shown as an **employment expense in the statement of profit or loss**. The current service cost is irrelevant to the financial reporting of amounts relating to a defined contribution plan.

The benefits paid to the former employees are paid by the plan and so are not relevant to Delta. Neither is the fair value of the plan assets.

Since the benefits payable to plan B members are based on final salary and length of service of the relevant employee, plan B is a defined benefit plan.

This means that the difference between the present value of the obligation (the liability of the plan to pay future benefits) and the fair value of the plan assets is reflected in the statement of financial position of Delta as a net liability or a net asset (*principle*).

Therefore the statement of financial position of Delta will record a net liability of **\$55 million** (\$220 million – \$165 million) at 31 March 20X5. This will be shown as a **non-current liability**.

Since there is no guarantee that the contributions payable to the plan will be sufficient to fund the benefits, it is the current service cost which is shown as an operating expense in the statement of profit or loss (*principle*). In this case, the relevant expense is **\$14 million**.

Since, for plan B, Delta has a constructive obligation to fund any deficits, it is appropriate to recognise a net interest cost in the statement of profit or loss. This is the net of the interest cost on the liability and the interest income on the assets (*principle – just sense of the point rather than the exact words*).

In this case, the net interest cost would be \$3.4 million (\$14.84 million (W1) – 11.44 million (W1)).

The benefits paid to the former employees are paid by the plan and so are not relevant to Delta.

The liability of the plan to pay future benefits is an estimate which is usually computed with reference to actuarial advice. This means that there will almost always be a difference between the net closing liability/asset after accounting for the other movements recognised in the financial statements and the actuarial valuations at the year end of the plan assets and liability (*principle – just sense of the point rather than the exact words*).

This difference is referred to in IAS 19 as an **actuarial gain or loss** and is recognised in **other comprehensive income**.

In this case, the actuarial loss is \$2.6 million (W2).

Working 1 – Net interest cost – plan B

	Asset \$'000	Liability \$'000
Opening balance	140,000	(190,000)
6/12 of the contributions of \$15,000 to plan in the period (increasing the asset)	7,500	
6/12 of the benefits of \$9,000 paid to employees in the period (reducing both the asset and the liability)	(4,500)	4,500
Average carrying amount of asset and liability in the period	143,000	(185,500)
Interest at 8%	11,440	(14,840)

Working 2 – Actuarial gain or loss – plan B

NB numbers below in \$'000

	\$'000
Opening net liability (190,000 – 140,000)	(50,000)
Current service cost	(14,000)
Net interest cost (W1 (14,840) less 11,440) – NB: OF rule applies here	(3,400)
Contributions payable by Delta into plan	15,000
Actuarial (loss)/gain – balancing figure	(2,600)
Closing net liability (220,000 – 165,000)	(55,000)

Exhibit 2 – Sale of goods with right of return

The relevant standard to apply here is IFRS 15 – *Revenue from Contracts with Customers*.

In order to determine the amount and timing of the revenue to be recognised, Delta needs to identify the contract with the customer and to identify the performance obligations for Delta contained in the contract. In this case, the contract, and the performance obligation, is to supply the items to the customer (*sense of the point*).

Delta then needs to determine the transaction price. Where the contract gives the customer a right of return, then the transaction price contains a variable element (*principle*).

Since the variable element can be reliably measured, then it is taken into account in measuring the transaction price (*principle*). This means that the transaction price is \$950,000 (200 x \$5,000 x 95%).

The transaction price needs to be allocated to the separate performance obligations in the contract. Where there is only one performance obligation, this is a straightforward matter (*sense of the point*).

Delta then needs to recognise the revenue as the performance obligation is satisfied. Since the performance obligation is to supply the items to the customer, then the revenue is recognised in full on 1 March 20X5 when the items are delivered (*sense of the point*). The revenue recognised on this date is \$950,000.

On 1 March 20X5, \$1 million (200 x \$5,000) will be recognised as a trade receivable.

\$50,000 (\$1 million – \$950,000) will be recognised as a refund liability. This will be a current liability.

The **total** cost of the goods sold is \$600,000 (200 x \$3,000). This amount will be removed from inventory on 1 March 20X5.

Only \$570,000 (200 x \$3,000 x 95%) of the above amount will be recognised in cost of sales. The other \$30,000 (\$600,000 – \$570,000) will be shown as a right of return asset under current assets.

The return of the six items during March 20X5 does not affect the initial recognition of revenue or cost of sales since the original estimate of the total returns is still considered valid (*principle*).

The sales value of the goods returned of \$30,000 (6 x \$5,000) will be credited to trade receivables and debited to the refund liability (*principle*).

This means that the closing balance of trade receivables will be \$970,000 (\$1 million – \$30,000) and the closing refund liability will be \$20,000 (\$50,000 – \$30,000).

The inventory value of the goods returned of \$18,000 (6 x \$3,000) will be debited to inventory and credited to the right of return asset (*principle*).

The closing balance of the right of return asset will be \$12,000 (\$30,000 – \$18,000).

4 Exhibit 1

Query 1

IFRS 10 – *Consolidated Financial Statements* – deals with the procedures to be followed when preparing such statements (*principle*).

IFRS 10 states that the financial information relating to any subsidiary entity should normally be prepared to the same reporting date as the reporting date of the parent entity (*principle*).

Where a subsidiary has a reporting date which differs from that of the parent, then it is normally necessary to prepare additional financial information relating to that subsidiary as of the same date as the reporting date of the parent (*principle*).

If this is not practicable, then IFRS 10 allows the parent to prepare consolidated financial statements which incorporate financial information for the subsidiary drawn up to the most recent reporting date of the subsidiary (*principle*).

In such circumstances, IFRS 10 requires adjustments to be made for 'significant' transactions which occur between the reporting date of the subsidiary and the reporting date of the parent (*principle*).

The above facility is only possible where the reporting dates of the subsidiary and the parent differ by three months or less (*principle*).

Therefore it would be possible to use the financial statements of NewSub for the year ended 31 December 20X4 to prepare the consolidated financial statements of Omega for the year ended 31 March 20X5 (*conclusion*).

There is no requirement for NewSub to change its year end following its acquisition by Omega but this might make the consolidation process more straightforward in the future (*sense of the point*).

Query 2

Segmental disclosures are required by IFRS 8 – *Operating Segments*.

IFRS 8 only applies to listed entities, so it is not necessary for NewSub to give such disclosures in its own individual financial statements.

Given that NewSub is now part of the Omega group, then disclosures relating to its operating segments would be required in theory in the consolidated financial statements of Omega.

In practice, the operating segments of NewSub would need to meet the criteria for them to be reportable in the consolidated financial statements of Omega (*sense of the point*).

These criteria are that the operating segments would be regularly reviewed by the Omega group management (chief operating decision maker) and they are material in the context of the Omega group.

In this context, 'material' means that the reported revenues, profits or assets of the segment are 10% or more of the combined reported revenues, profits or assets of all of the operating segments of the Omega group, i.e. exceeds the quantitative thresholds in IFRS 8.

Notwithstanding the quantitative thresholds, however, IFRS 8 permits entities to disclose information about operating segments if, in the judgement of management, such information would be useful to users.

Query 3

Accounting for investment properties is set out in IAS 40 – *Investment Property*.

IAS 40 states that investment properties are initially accounted for at cost (*principle*).

IAS 40 allows an accounting policy choice for subsequent measurement of investment properties.

IAS 40 allows either the cost model or the fair value model but requires a consistent choice of measurement model for all investment property.

On the date when Omega acquires NewSub, the 'cost' of NewSub's investment properties from the perspective of the consolidated financial statements would be their fair value at the date of acquisition of NewSub.

This means that, for the purposes of the Omega group consolidation, NewSub's investment properties will need to be measured using the fair value model. This will require on-going adjustments to be made at group consolidation level.

It is not necessary for NewSub to adjust its accounting policy in its own financial statements but for practical purposes this might be the preferred option going forward (*sense of the point*).

Exhibit 2 – Statement of profit or loss and other comprehensive income

Query 1

The overall requirements for presentation of financial statements are set out in IAS 1 – *Presentation of Financial Statements* (*principle*).

IAS 1 requires that the statement of profit or loss and other comprehensive income discloses certain key elements, for example, revenue and income tax expense (*principle*).

As far as other detailed line items are concerned, IAS 1 states that they should be presented in a manner that is relevant to an understanding of the financial performance of the reporting entity (*principle*).

In particular, IAS 1 states that operating expenses should be presented based on either their nature or their function, whichever provides financial information which is more reliable or relevant (*principle*).

Therefore it is perfectly possible that the detailed line items in the respective statements of Omega and Rival could be quite different while still complying with full IFRS standards (*conclusion*).

Query 2

As far as the allocation of items between profit or loss and other comprehensive income is concerned, IAS 1 states that all items of income and expense should be presented in profit or loss unless another IFRS standard requires or permits otherwise (*principle*).

There is no theoretical distinction between 'profit or loss items' and 'other comprehensive income items'. However, it is more likely for gains, rather than losses, to be recognised in other comprehensive income (for example, revaluation gains on re-measurement of property, plant and equipment are usually recognised in other comprehensive income whereas revaluation losses are unusually recognised in profit or loss).

Gains or losses which are recognised in profit or loss contribute to the computation of earnings per share (EPS). Those recognised in other comprehensive income do not.

EPS is a key performance indicator for listed entities which must be disclosed in the published financial statements.

This would therefore matter for both Omega and Rival (*conclusion*).

	<i>Marks</i>
1 Non-current assets	
– PPE	4
– Goodwill	4
	<u>8</u>
Current assets	<u>2</u>
Equity	
– Retained earnings	5.5
– NCI	1
– Other	1.5
	<u>8</u>
Non-current liabilities	
– Long-term borrowings	3
– Deferred tax	1
	<u>4</u>
Current liabilities	
– Deferred consideration	2
– Others	1
	<u>3</u>
	<u>25</u>
 2 Attachment 1	
– Explanation of IFRS 2	7
– Calculations	3
	<u>10</u>
 Attachment 2	
– IAS 16 explanations	2
– IAS 16 calculations	2
– IAS 12 explanations	3
– IAS 12 calculations	3
	<u>10</u>
 Ethics	<u>5</u>
	<u>25</u>
 3 Exhibit 1 – IAS 19	
Plan A – Explanations	4
– Calculations	2
Plan B – Explanations	3
– Calculations – net interest cost	2
– actuarial gain or loss	3
	<u>14</u>
 Exhibit 2 – IFRS 15	
– Explanations	5
– Calculations	3
– Accounting and presentation on statement of financial position	3
	<u>11</u>
	<u>25</u>

	Marks
4 Exhibit 1	
Query 1:	
– IFRS 10 principles	3
– Application to NewSub	3
Query 2:	
– IFRS 8 principles	3
– Application to Omega	2
Query 3:	
– IAS 40 principles	3
– Application to NewSub/Omega	3
	<u>17</u>
 Exhibit 2	
Query 1:	
– IAS 1 principles	2
– Application	1
Query 2:	
– Explanation profit or loss v other comprehensive income	3
– Impact on performance indicator	1
– Application to Omega	1
	<u>8</u>
	<u>25</u>